

Factor Investing

Chapter Summary

There are many factor strategies—value investing, momentum, and short volatility strategies, to name but a few—that beat the market. To determine which factors we should choose, factor investing asks: how well can a particular investor weather hard times relative to the average investor? Answering this question helps an investor reap long-run factor premiums by embracing risks that lose money during bad times but make up for it the rest of the time with attractive rewards. When factor investing can be done cheaply, it raises the bar for active management.

1. Passive-Aggressive Norway

Norwegians were shocked by their sovereign wealth fund's performance during the 2008 and 2009 financial crisis. Officially the Norwegian Government Pension Fund—Global, the fund was formed in 1990 to invest state revenues from oil and gas reserves in the North Sea. At the end of 2012, Norway's fund stood at \$650 billion, or more than \$130,000 per Norwegian. The fund is larger than Norway's annual economic output.

The fund's returns were humming along nicely at the start of 2007. Figure 14.1 plots cumulated returns from January 2007 to September 2009, encompassing the worst of the financial meltdown. While there were some rumblings and negative returns starting in the summer of 2007 as subprime mortgage prices declined,¹ the market started to plummet in 2008. Figure 14.1 shows that cumulated returns starting in 2007 reached -17% in October 2008, a month after Lehman Brothers went bankrupt. Thanks to frantic efforts by Washington to prop up the banking system and other major players, the Norwegian fund posted

¹In August 2007, a crisis occurred for hedge funds specializing in quantitative investing techniques; see chapter 17.